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General Comment

See attached file(s)

Attachments

Response to RFI on AI Action Plan

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Submitted by Damian Porcari

Background & Expertise

Damian Porcari is a leading intellectual property expert with over 40 years of experience in IP strategy, enforcement, and innovation management. He served as Director of the Elijah J. McCoy Midwest Regional USPTO and previously led the Ford Global Technologies Licensing and Enforcement group. He also co-founded the IP software product Anaqua with BAT. He has testified before Congress on design patents, co-authored a Supreme Court amicus brief in *KSR v. Teleflex*, and published extensively on AI-driven patent systems and IP policy. He currently advises technology startups, AI companies, and law firms on patent strategy and automation.

Summary of Key Points

1. AI's use of copyrighted and trademarked materials in AI prompts constitutes commercial exploitation and should require compensation.
2. Patent laws should adapt to AI-human collaborative workflows, ensuring AI-generated iterations are non-patentable while human-refined innovations remain eligible.
3. AI should enhance access to prior art through structured data, improving technological advancement.

1. Intellectual Property Considerations for the Protection of Copyrighted & Trademarked Works in AI Prompts

The rapid adoption of AI raises significant legal concerns regarding intellectual property rights, particularly the unauthorized use of copyrighted and trademarked materials. While at least 39 copyright infringement cases related to AI-generated works are pending in the U.S., the legal system has yet to address a critical and emerging issue: hybrid infringement, where AI-generated works incorporate trademarked or copyrighted elements in prompts to produce content that mimics the original creator.

This creates an unregulated space where AI systems commercially exploit protected intellectual property without appropriate compensation. AI models do not operate in isolation—they are trained on vast datasets that include copyrighted and trademarked content. When users input

prompts such as “*Create a song in the style of Let It Be by The Beatles ®*” or “*Generate an image of a dog in the style of Keith Haring®*”, the AI model mimics the stylistic and compositional elements of the original work. Worse, it uses the creator’s source-identifying trademark without permission or compensation. This practice constitutes commercial exploitation for several reasons. Trademark law prohibits unauthorized use of a protected mark in a way that suggests an association with the original trademark holder (Lanham Act, 15 U.S.C. § 1114). Copyright law grants exclusive rights to creators to reproduce, distribute, and create derivative works (17 U.S.C. § 106). AI-generated content that imitates a creator’s distinctive style or brand name without authorization violates these principles.

Beyond legal infringement, AI-generated works disrupt licensing markets. Traditionally, artists and authors license their work for commercial reproduction, but AI-generated content allows users to bypass licensing fees, depriving rights holders of revenue and control over their intellectual property. Industries such as music and broadcasting already recognize the necessity of licensing copyrighted and trademarked works. Digital music streaming services, for example, operate under a compulsory licensing system (17 U.S.C. § 115) to compensate songwriters, composers, and artists. AI should be subject to similar requirements.

To ensure fair compensation and uphold intellectual property rights, USPTO and Copyright Office should recognize AI-generated content that incorporates copyrighted or trademarked materials as a commercial use, regardless of whether the output is monetized. This would ensure that all derivative works generated through AI prompts referencing specific IP require appropriate licensing.

A compulsory licensing system should be established to allow AI developers and users to legally generate content based on copyrighted and trademarked works, subject to a statutory fee paid to rights holders. This framework should include standardized royalty rates, a digital tracking system for AI-generated outputs, and penalties for non-compliance. AI platforms should also be required to notify users when their prompts contain protected trademarks or copyrighted materials and offer an opt-in licensing mechanism. Without clear regulations, AI models will continue to exploit the works of creators without compensation, diminishing the value of copyrighted and trademarked materials.

2. Adapting Patent Law to AI-Human Collaborative Workflows

The emergence of AI as a tool for innovation has introduced complexities that challenge existing patent law frameworks. One of the most pressing issues is the application of the non-obviousness standard, which has historically been a cornerstone of patent eligibility. As AI becomes an integral part of engineering and scientific development, the current approach to non-obviousness fails to account for AI-generated iterations.

Patent law must evolve to ensure that human-driven innovations receive protection while AI-exclusive outputs—particularly those constituting preliminary, machine-generated proposals—are excluded. A revised model should replace the current non-obviousness requirement with a

more objective test: if an AI system, using only a claim as input, generates a fully functional description of an invention, that invention should be deemed unpatentable. This algorithmic approach would vastly simplify patentability analysis and create a more reproducible framework than the traditional Graham factors established in *Graham v. John Deere Co.* (1966).

Currently, the Graham factors for non-obviousness (codified in 35 U.S.C. § 103) include:

1. The scope and content of prior art.
2. The differences between the claimed invention and prior art.
3. The level of ordinary skill in the art (PHOSITA).

This framework is increasingly ineffective in addressing AI-generated solutions, as AI systems now routinely propose designs that may appear non-obvious based on conventional human reasoning but are, in fact, the result of algorithmic pattern recognition.

A human-refined patentability model should retain the first two Graham factors but replace the third factor (PHOSITA) with a comparison between the claim and the AI-generated solution. Would an AI innovation model arrive at the same invention? This step should be bounded to ensure that AI does not conduct exhaustive searches but rather uses a reasonable allocation of resources based on currently vetted AI models.

The likely consequence of this approach is that as AI innovation models improve, human contributions must also increase in sophistication to qualify for patent protection. Over time, AI will surpass human inventors in many fields—just as chess engines now outperform grandmasters—but that will not end human innovation. Instead, it will drive new ways of thinking and problem-solving.

To implement this approach, USPTO should:

- Require that the inventive step be derived from human insight rather than algorithmic prediction.
- Establish a presumption that AI-generated initial iterations are not patentable, requiring applicants to demonstrate meaningful human refinement.
- Develop a framework distinguishing AI-assisted engineering from AI-autonomous invention, ensuring that patent protection is reserved for human creativity.

This updated approach would align with the fundamental goals of patent law—encouraging human innovation—while preventing the monopolization of AI-generated ideas that lack genuine human input.

3. Enhancing Innovation Through AI-Powered Access to Prior Art

The patent system exists to protect innovation and disseminate knowledge, yet engineers and scientists rarely engage with patent literature in the early stages of research. Prior art searches are often conducted after an invention is conceived, limiting prior art's ability to inspire new ideas. AI could transform this process by integrating patent literature directly into early-stage innovation, but current patent data is not structured in a way that allows seamless AI integration.

Patent data should be machine-readable and structured for AI analysis. Chemical formulae should be stored in computational formats, allowing AI-driven chemistry platforms to analyze compounds and predict new materials. Three-dimensional CAD models and Finite Element Analysis (FEA) data should be included in patent filings in a format that AI-based engineering tools can interpret. In biotechnology and computer science, source code and genomic sequences should be stored in structured repositories that AI can process, enabling bioinformatics research.

USPTO must collaborate with AI-driven innovation platforms to ensure that patent data is accessible and structured. AI-powered ideation tools could parse vast amounts of patent literature, identifying patterns and connections that human researchers might overlook. This would accelerate innovation while ensuring new developments build upon existing knowledge rather than duplicating prior inventions.

AI policy must be structured to protect intellectual property rights, modernize patent eligibility, and leverage AI to improve access to structured prior art data. USPTO and policymakers must recognize that AI is not just a regulatory challenge but a tool that, when properly integrated, can enhance innovation.